

1 _____ BILL NO. _____

2 INTRODUCED BY _____
3 (Primary Sponsor)

4 A BILL FOR AN ACT ENTITLED: "AN ACT REVISING COVENANT LAWS; AMENDING SECTION 70-17-210,
5 MCA."

6
7 BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

8
9 **Section 1.** Section 70-17-210, MCA, is amended to read:

10 **"70-17-210. Covenant enforcement and abandonment.** (1) ~~An association or any party to an~~
11 ~~interest in land subject to a covenant, condition, or restriction~~ The following persons may initiate a legal action
12 to enforce covenants, conditions, or restrictions: :

13 (a) a party to an agreement containing real property covenants, conditions, or restrictions or the
14 party's successors in interest;

15 (b) the owner of an interest in real property burdened or benefited by a covenant, condition, or
16 restriction; or

17 (c) a homeowners' association or other governing body of a real property development subject to
18 covenants, conditions, or restrictions.

19 (2) ~~A parcel~~ The owner of an interest in real property subject to a covenant, condition, or restriction
20 may assert a defense that a covenant, condition, or restriction has been abandoned for purposes of
21 enforcement by offering evidence that no enforcement action has been undertaken for the prescribed period in
22 27-2-202. Once a covenant, condition, or restriction is abandoned by a court order or agreed to have been
23 abandoned by the approval of the appropriate association or governing body; by recording a notice of
24 abandonment or amendment in the office of the county clerk and recorder of the county where the
25 ~~development property~~ property is situated, all persons are precluded from undertaking a different interpretation or
26 enforcement action of the abandoned covenant, condition, or restriction against a similarly situated ~~parcel~~
27 ~~owner in the same development~~ of an interest in real property subject to the abandoned covenant, condition, or
28 restriction.

(3) (a) Except as provided in subsection (3)(b), an association or governing body of a real property development that has not met for a period of 15 years is prohibited from taking an enforcement action against a ~~parcel owner~~ the owner of an interest in real property subject to a covenant, condition, or restriction whose use of the ~~parcel~~ property is substantially similar to the nature and scope of the use of other ~~parcels~~ properties in the development.

(b) Covenants, conditions, and restrictions are still valid and enforceable under this subsection (3) if they are otherwise necessary:

(i) to comply with applicable federal, state, and local laws, ordinances, and regulations;

(ii) for an easement or right-of-way;

(iii) ~~for the maintenance of infrastructure or improvements in the development~~ serving the real
properties burdened or benefited by the covenants, conditions, or restrictions;

(iv) to comply with a court order or the approval provided by a government on the establishment of the covenants, conditions, and restrictions;

(v) for the installation, maintenance, or removal of utilities; or

(vi) to abate a nuisance."

- END -